

CHAPTER 3

SAVING, INVESTMENT AND INCOME IN INDIA

1. Saving

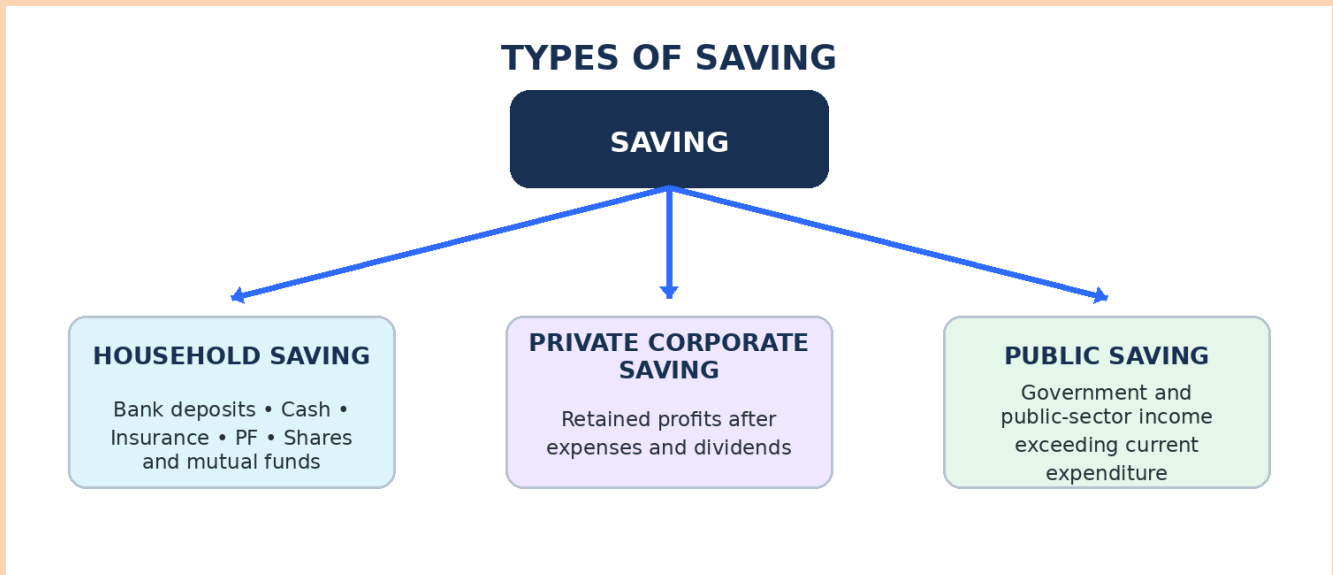
Saving is the part of current income that is not spent on current consumption. It is a flow concept measured over a period of time.

Basic identity

Saving (S) = Income (Y) – Consumption (C)

Main Types of Saving

- Household saving: savings of individuals and families in bank deposits, cash, insurance, provident fund, shares and mutual funds.
- Private corporate saving: retained profits of private companies after meeting expenses and paying dividends.
- Public saving: surplus of government and public-sector enterprises when current income exceeds current expenditure.



Why People Save

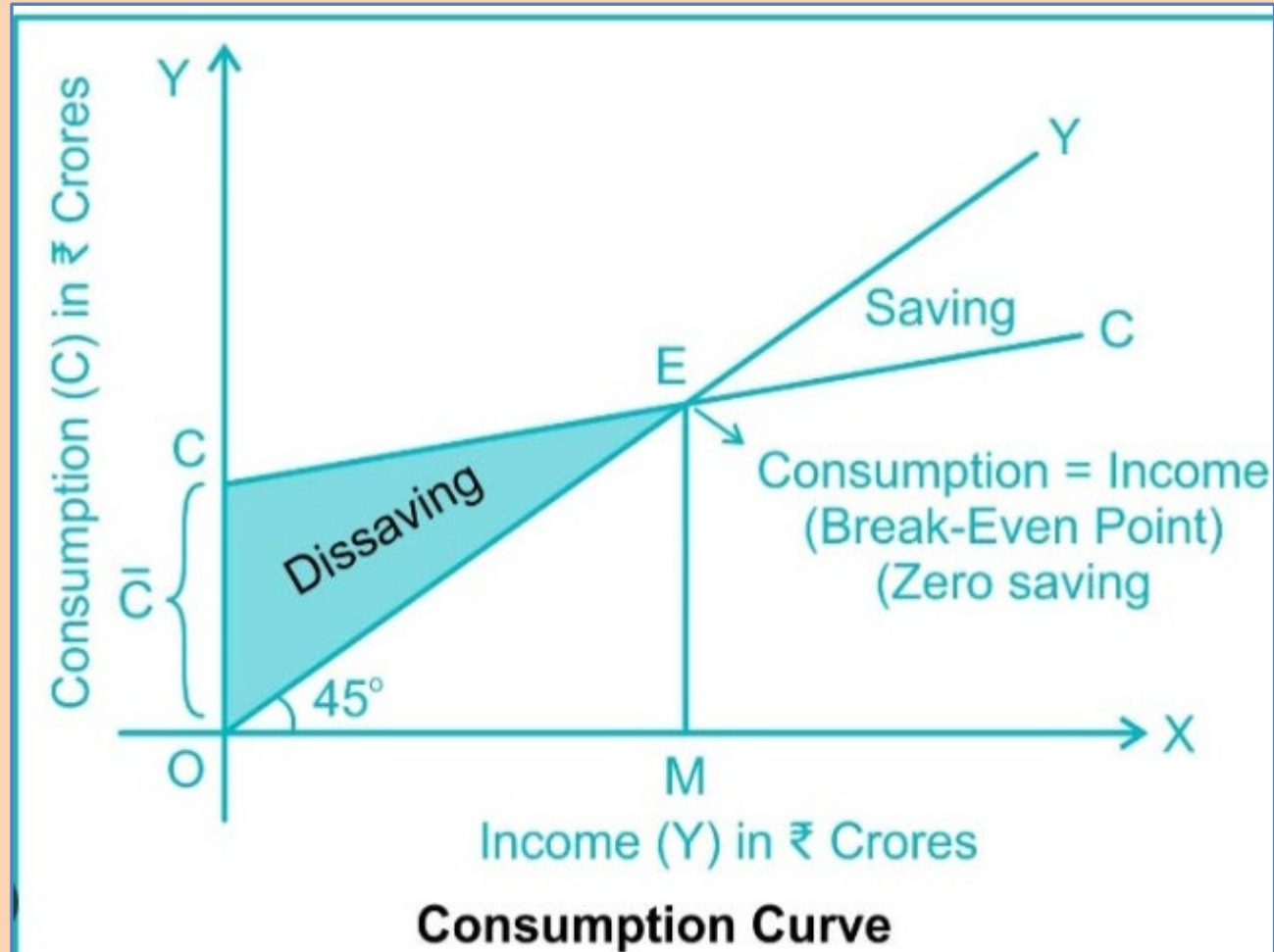
- Future consumption and emergencies
- Education, housing and retirement
- Earning interest or investment returns
- Financial security and wealth creation

2. Saving Behaviour and Propensity to Save

Autonomous and Induced Saving

Autonomous saving is independent of the current level of income. At zero or very low income, households may still consume by borrowing or using past savings; saving is then negative and is called dissaving.

Induced saving changes with income. As income rises, consumption usually rises, but a part of the additional income is also saved.



Propensity to Save

Measure	Formula	Meaning / Example
APS	$APS = S / Y$	Share of total income saved. If $Y = ₹10,000$ and $S = ₹2,000$, $APS = 0.20$ or 20%.
MPS	$MPS = \Delta S / \Delta Y$	Share of additional income saved. If income rises by ₹1,000 and saving by ₹200, $MPS = 0.20$ or 20%.

Exam Points

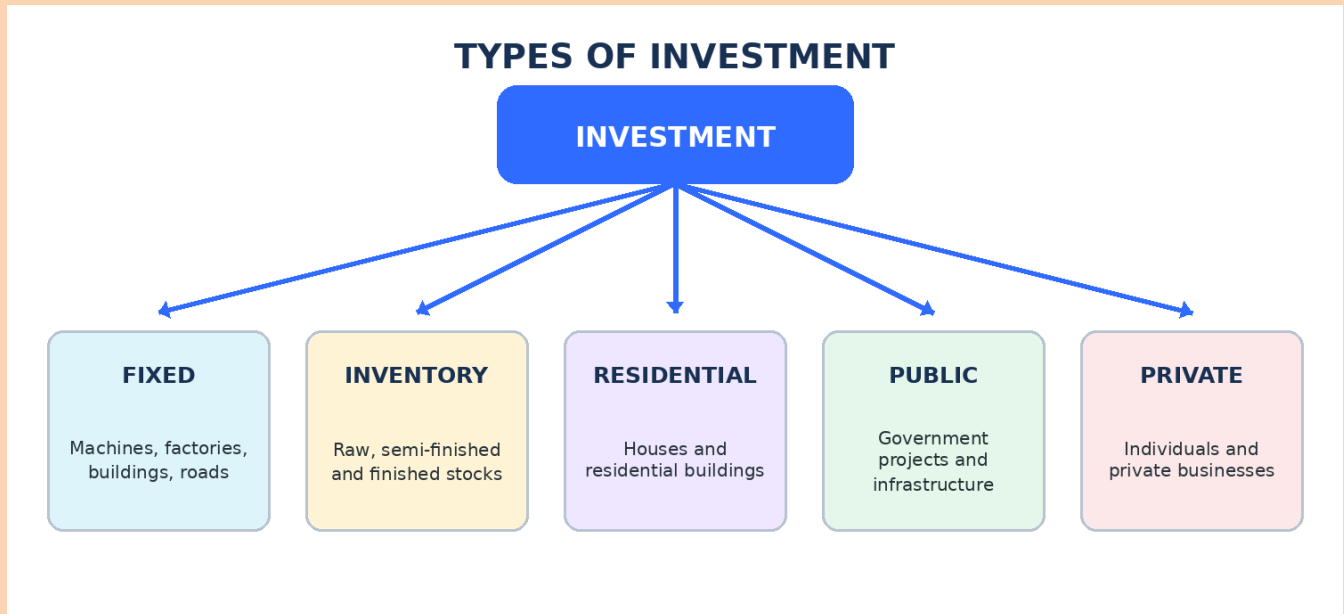
- At the break-even income level, consumption equals income and saving is zero.
- Below break-even income, saving is negative; above it, saving is positive.
- APS may be negative at low income, but MPS normally lies between 0 and 1.

3. Investment

Investment means expenditure on the creation of new capital assets that help produce goods and services in the future. In economics, buying an existing share or bond is a financial transaction; real investment creates or adds to productive capacity.

Types of Investment

- Fixed investment: machinery, factories, buildings, roads and other durable productive assets.
- Inventory investment: increase in stocks of raw materials, semi-finished goods and finished goods.
- Residential investment: construction of houses and residential buildings.
- Public investment: spending by government on roads, railways, schools, hospitals, power and irrigation projects.
- Private investment: investment made by individuals and private businesses.



Gross and Net Investment

Key formula

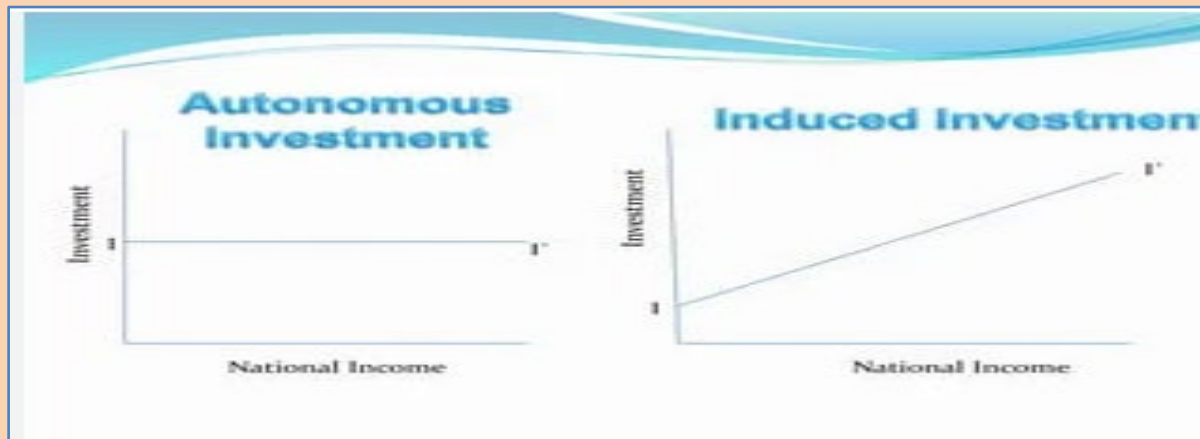
Net Investment = Gross Investment – Depreciation

- Gross investment includes expenditure on new assets plus replacement of worn-out assets.
- Depreciation is the loss in value of capital due to wear, tear and obsolescence.
- Net investment shows the actual addition to the capital stock.

Example: If a firm spends ₹10 lakh on machinery and depreciation is ₹3 lakh, net investment is ₹7 lakh.

4. Autonomous and Induced Investment

“Autonomous” does not mean “influenced by nothing.” It means independent of the current level of income or output.



Comparison

Basis	Autonomous Investment	Induced Investment
Income link	Does not depend on current income	Changes with income, output or demand
Curve	Horizontal	Upward sloping
Main drivers	Policy, technology, expectations, population, infrastructure	Expected sales, demand and capacity needs
Example	Government highway project even when income is unchanged	Firm buys more machines because demand rises

Induced Investment Chain

Cause-and-effect	Income $\uparrow$ $\rightarrow$ Demand $\uparrow$ $\rightarrow$ Production $\uparrow$ $\rightarrow$ Need for capacity $\uparrow$ $\rightarrow$ Induced Investment $\uparrow$
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Key Distinction

- Autonomous investment is influenced by factors other than current income.
- Induced investment is directly triggered by changes in income, output or demand.

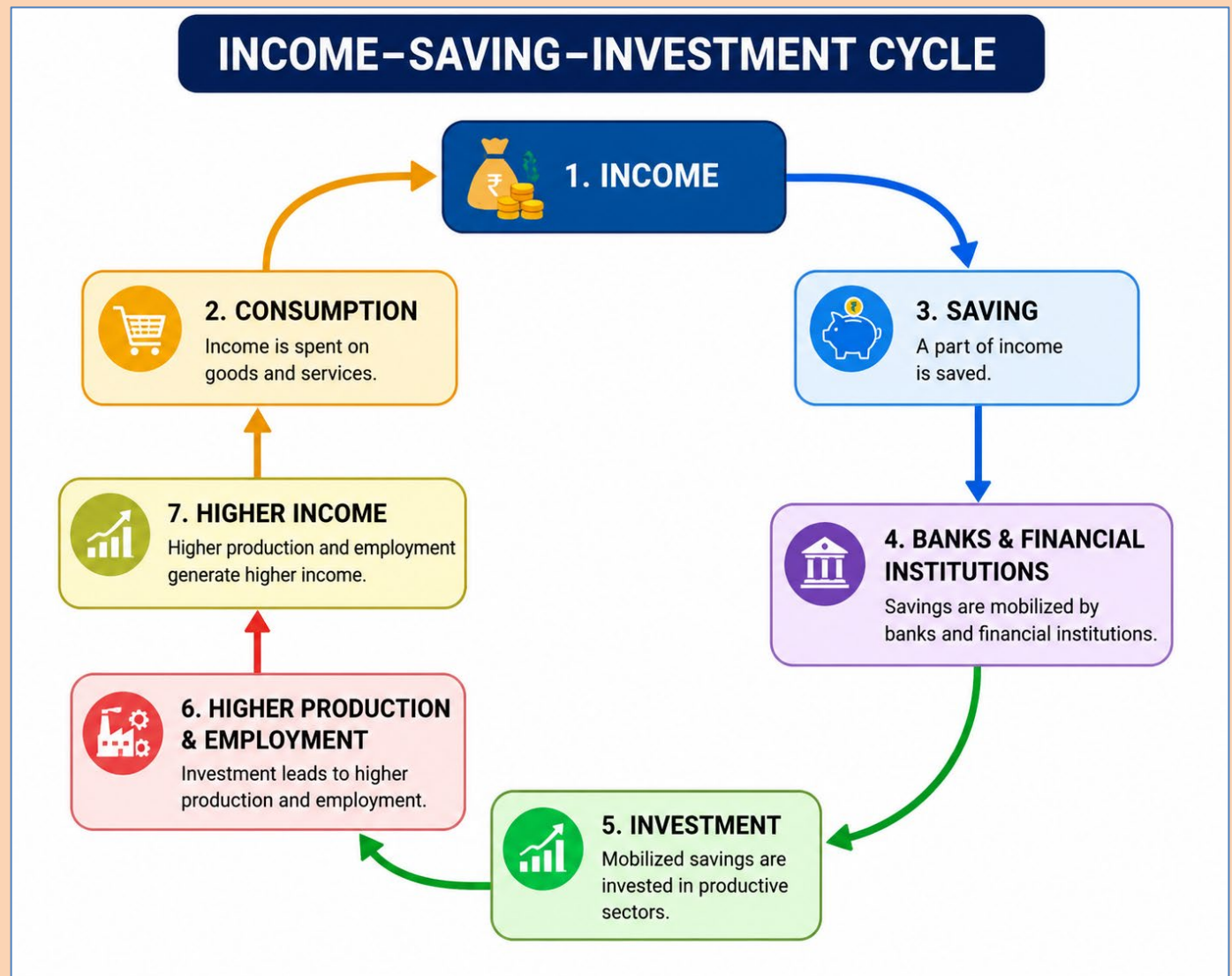
5. Income and the Circular Relationship

Income is the amount earned by individuals or organisations from economic activity. Its major forms are wages and salaries, rent, interest and profit.

WAGES / SALARY Reward for labour	RENT Reward for land or property	INTEREST Reward for lending capital	PROFIT Reward for enterprise and risk
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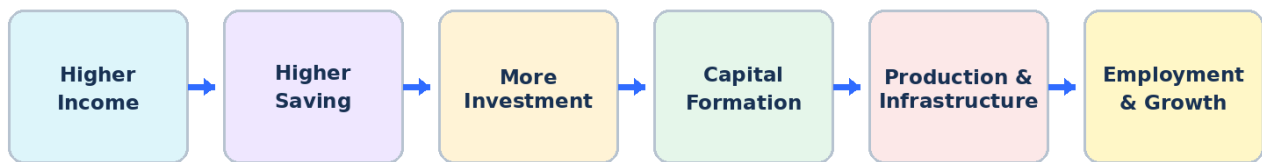
Relationship Between Income, Saving and Investment

People divide income between consumption and saving. Banks and financial institutions mobilise savings and channel them to investors. Investment creates capital, expands production and employment, and generates higher future income.



Importance for India

WHY SAVING AND INVESTMENT MATTER FOR INDIA



- Capital formation and industrial development
- Infrastructure development and modernisation
- Employment generation and higher productivity
- Long-term economic growth and improved living standards

- **India: Latest GDP, Saving and Investment Data**

Indicator	Latest data	Period
Nominal GDP	₹346.36 lakh crore; growth 8.9%	FY2025–26, provisional
Real GDP	₹323.12 lakh crore; growth 7.7%	FY2025–26, provisional
Gross domestic saving	₹92.59 lakh crore, equal to 30.7% of GDP	FY2023–24, latest complete estimate
Investment—GFCF	₹110.64 lakh crore, equal to 31.9% of GDP	FY2025–26, provisional

- Nominal GDP measures the value of goods and services produced in a country using current-year prices.
- It can increase because:
 - The country produces more goods and services.
 - Prices increase because of inflation.
 - Both production and prices increase.
- Real GDP measures production using the prices of a fixed base year. It removes the effect of inflation.